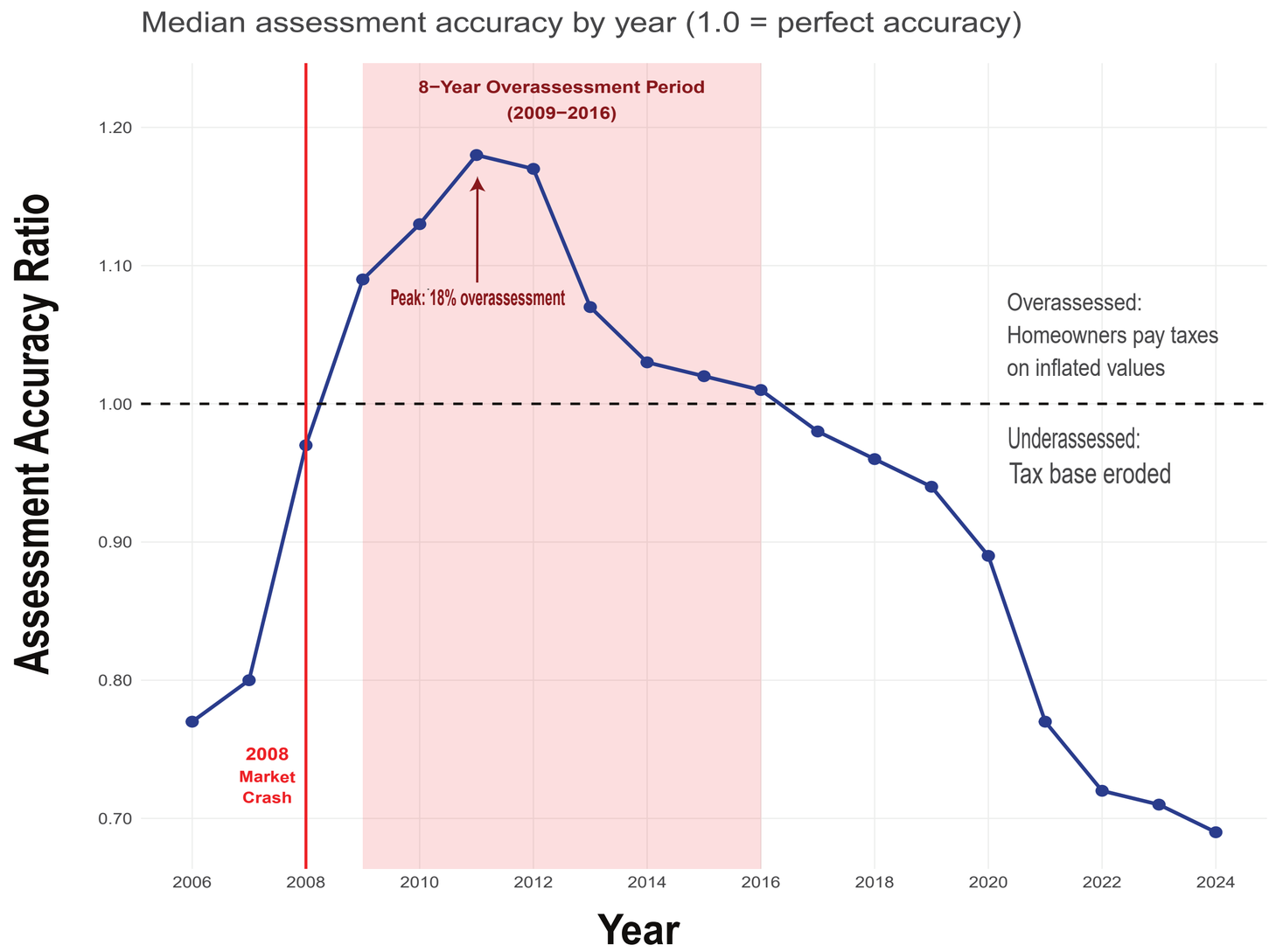
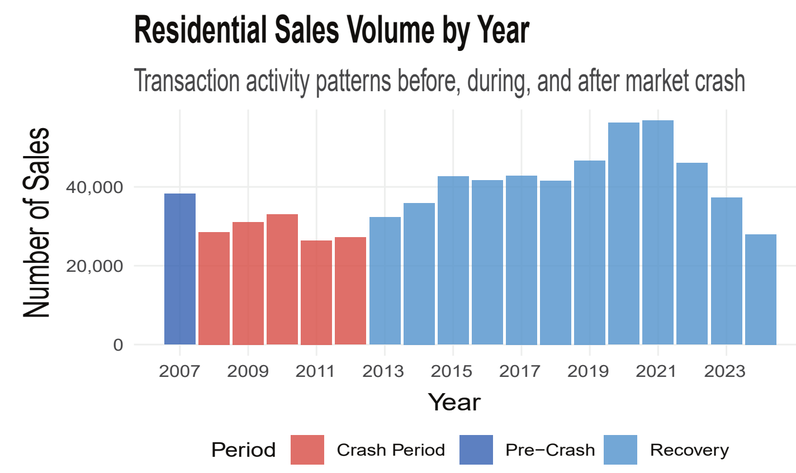
Connecticut's Slow-Moving Assessment System Cost Homeowners $184M

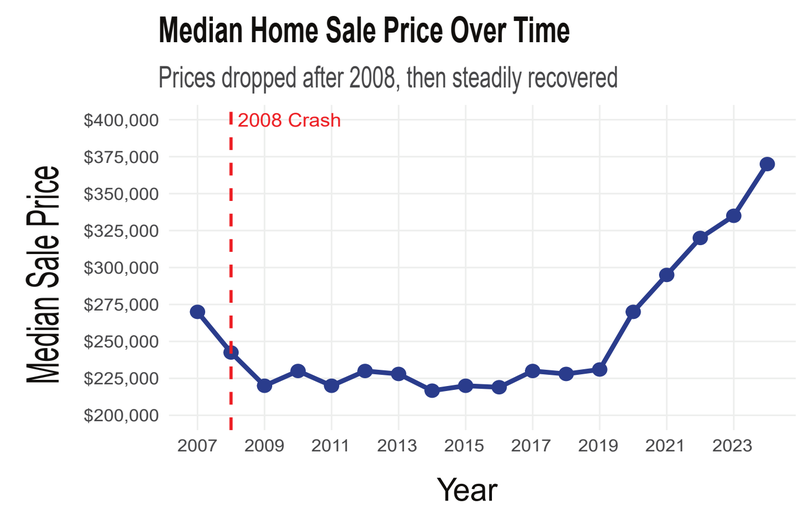
IST 421

by Daniel Rindfuss

After the 2008 market crash, Connecticut's property assessment system failed to adjust to plummeting home values. For eight years, homeowners were systematically overassessed by up to 18%, paying property taxes based off of inflated home assessment values





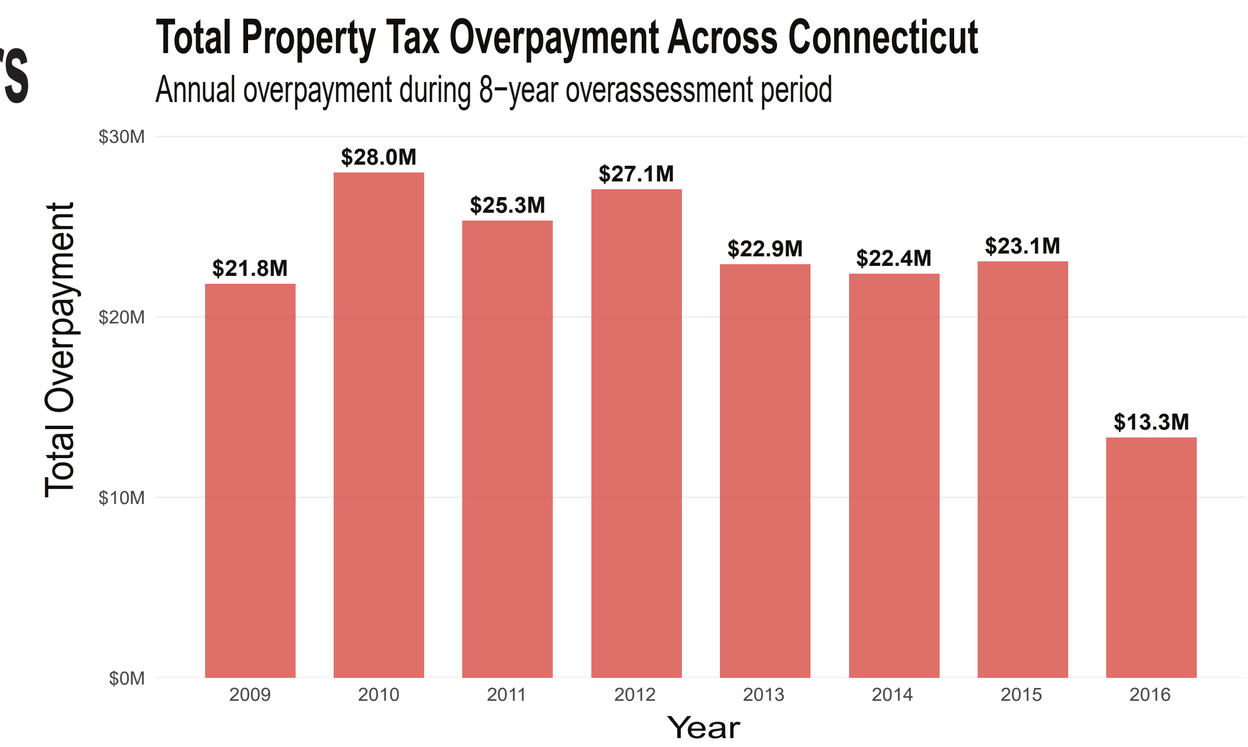


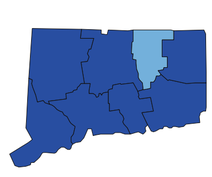
Statistical analysis confirms assessments jumped 30 percentage points above market values in 2009 ($\beta = 0.301$, $p < 0.001$) and corrected at a significantly slower rate than normal market adjustments (interaction $\beta = -0.011$, $p < 0.001$), documenting an 8-year lag in assessment accuracy.

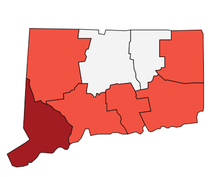
How did this period of overassessment affect Connecticut homeowners?

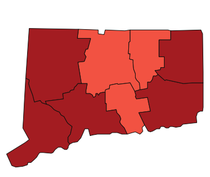
184 Million Dollars Overpaid in Property Tax Over 8 years

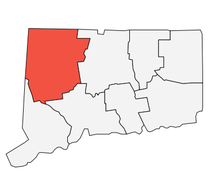
Property assessments directly determine tax bills for Connecticut's homeowners and fund esential services like schools and infrastructure. Understanding assessment lag helps policymakers reform valuation practices to prevent unfair tax burdens and ensure proper public funding

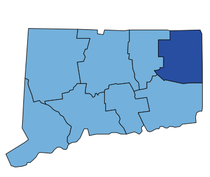



2007: Pre−Crash Underassessment

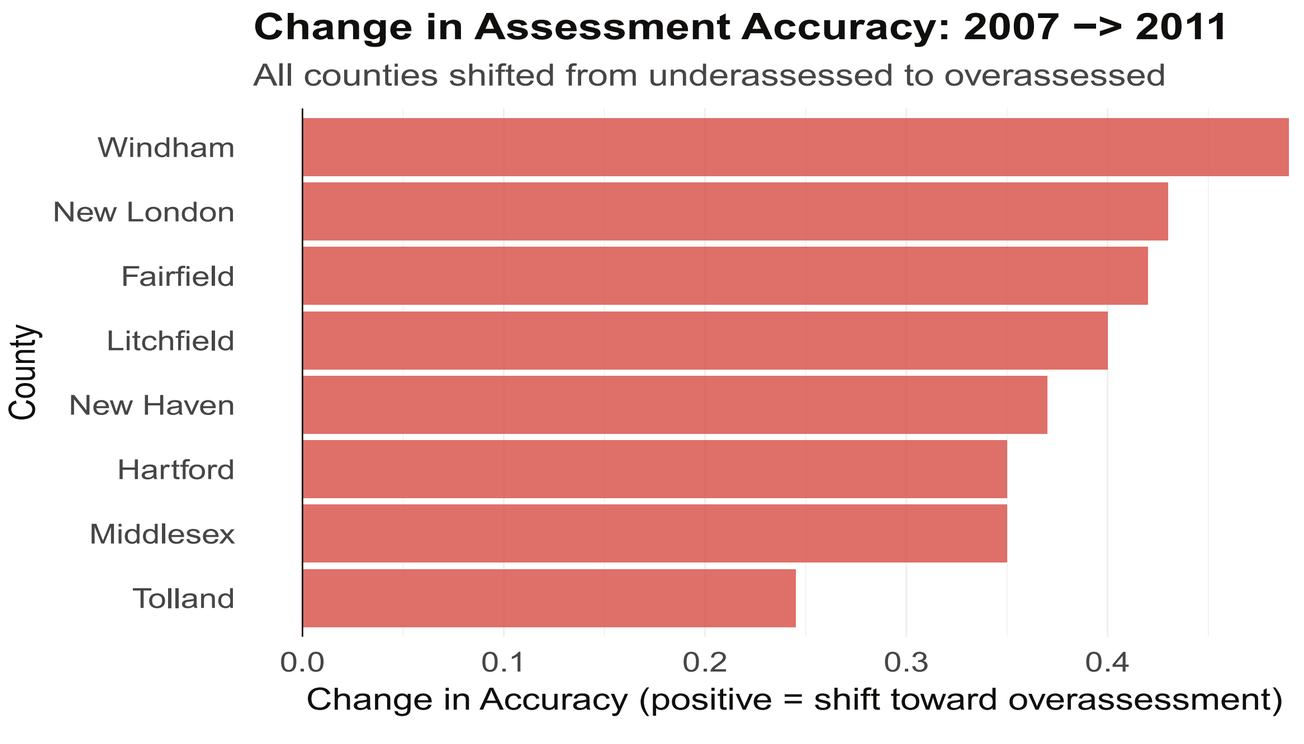

2009: Post−Crash Shift


2011: Peak Overassessment


2016: Return to Accuracy


2020: Cycle Repeats

Assessment Accuracy
- < 0.85 (Severe Underassessment)
- 0.85−0.95 (Underassessment)
- 0.95−1.05 (Accurate)
- 1.05−1.15 (Overassessment)
- > 1.15 (Severe Overassessment)



Data Work:

- 650,000 residential sales, Connecticut Open Data Portal (2006-2024)
- Variables: assessed values, sale amounts, dates, towns, property types (169 municipalities)
- Filtering: Excluded pre-2006, non-residential, and ratios outside 0.25-2.0
- Aggregation: County medians for geographic analysis

Sources:

https://data.ct.gov/Housing-and-Development/Real-Estate-Sales-2001-2023-GL/5mzw-sjtu/about_data

https://portal.ct.gov/opm/igpp/publications/mill-rates

R Packages: ggplot, tidyverse, dplyr